

845 Nonmonetary Transactions

845 Nonmonetary Transactions

10 Overall

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

845-10-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	Business	Amended	Accounting Standards Update No. 2017-01	01/05/2017
	Contract	Added	Accounting Standards Update No. 2014-09	05/28/2014
	Corporate Joint Venture	Amended	Accounting Standards Update No. 2010-08	02/02/2010
	Customer	Added	Accounting Standards Update No. 2014-09	05/28/2014
	Fair Value (2 nd def.)	Added	Accounting Standards Update No. 2025-10	12/04/2025
	Government Grant	Added	Accounting Standards Update No. 2025-10	12/04/2025
	Monetary Assets	Added	Accounting Standards Update No. 2025-10	12/04/2025
	Noncontrolling Interest	Superseded	Accounting Standards Update No. 2017-05	02/22/2017
	Nonprofit Activity	Added	Accounting Standards Update No. 2010-02	01/06/2010
	Not-for-Profit Entity	Added	Accounting Standards Update No. 2010-07	01/28/2010
	Owners	Amended	Accounting Standards Update No. 2010-07	01/28/2010
	Revenue	Added	Accounting Standards Update No. 2014-09	05/28/2014
	845-10-05-1	Amended	Accounting Standards Update No. 2017-05	02/22/2017
	845-10-05-11	Amended	Accounting Standards Update No. 2017-05	02/22/2017
	845-10-05-11	Amended	Accounting Standards Update No. 2014-09	05/28/2014
	845-10-05-12	Superseded	Accounting Standards Update No. 2017-05	02/22/2017
	845-10-15-4	Amended	Accounting Standards Update No. 2025-10	12/04/2025
	845-10-15-4	Amended	Accounting Standards Update No. 2023-05	08/23/2023
	845-10-15-4	Amended	Accounting Standards Update No. 2019-08	11/11/2019

845-10-15-4	Amended	Accounting Standards Update No. 2018-07	06/20/2018
845-10-15-4	Amended	Accounting Standards Update No. 2017-05	02/22/2017
845-10-15-4	Amended	Accounting Standards Update No. 2014-09	05/28/2014
845-10-15-4	Amended	Accounting Standards Update No. 2012-04	10/01/2012
845-10-15-4	Amended	Accounting Standards Update No. 2010-07	01/28/2010
845-10-15-8	Amended	Accounting Standards Update No. 2014-09	05/28/2014
845-10-15-14	Amended	Accounting Standards Update No. 2014-09	05/28/2014
845-10-15-15	Amended	Maintenance Update 2016-05 	04/12/2016
845-10-15-15 through 15-17	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
845-10-15-18 through 15-20	Superseded	Accounting Standards Update No. 2017-05	02/22/2017
845-10-15-20	Amended	Maintenance Update 2016-05 	04/12/2016
845-10-15-20	Amended	Accounting Standards Update No. 2014-09	05/28/2014
845-10-15-20	Amended	Accounting Standards Update No. 2010-02	01/06/2010
845-10-15-20	Amended	Accounting Standards Update No. 2010-08	02/02/2010
845-10-25-7	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
845-10-25-8	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
845-10-25-9 through 25-12	Superseded	Accounting Standards Update No. 2017-05	02/22/2017
845-10-30-3	Amended	Maintenance Update 2016-05 	04/12/2016
845-10-30-4	Amended	Accounting Standards Update No. 2024-02	03/29/2024
845-10-30-10	Amended	Maintenance Update 2016-05 	04/12/2016
845-10-30-17	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
845-10-30-18	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
845-10-30-20	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
845-10-30-22	Superseded	Accounting Standards Update No. 2017-05	02/22/2017
845-10-30-22	Amended	Accounting Standards Update No. 2010-02	01/06/2010
845-10-30-23	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
845-10-30-24	Superseded	Accounting Standards Update No. 2017-05	02/22/2017
845-10-30-25	Superseded	Accounting Standards Update No. 2017-05	02/22/2017
845-10-30-25	Amended	Accounting Standards Update No. 2014-09	05/28/2014
845-10-30-25	Amended	Accounting Standards Update No. 2010-02	01/06/2010
845-10-30-25A	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
845-10-30-25A	Amended	Accounting Standards Update No. 2012-04	10/01/2012
845-10-30-25A	Added	Accounting Standards Update No. 2010-02	01/06/2010
845-10-30-25B through 30-27	Superseded	Accounting Standards Update No. 2017-05	02/22/2017
845-10-30-25B	Added	Accounting Standards Update No. 2014-09	05/28/2014
845-10-30-25C	Added	Accounting Standards Update No. 2014-09	05/28/2014
845-10-30-26	Amended	Accounting Standards Update No. 2016-01	01/05/2016
845-10-50-1	Amended	Accounting Standards Update No. 2024-03	11/04/2024
845-10-50-2	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
845-10-55-2	Amended	Accounting Standards Update No. 2014-09	05/28/2014

845-10-55-2	Amended	Accounting Standards Update No. 2017-05	02/22/2017
845-10-55-2	Amended	Accounting Standards Update No. 2012-04	10/01/2012
845-10-55-27	Superseded	Accounting Standards Update No. 2017-05	02/22/2017
845-10-55-28	Superseded	Accounting Standards Update No. 2017-05	02/22/2017
845-10-55-29 through 55-37	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
845-10-60-2	Amended	Accounting Standards Update No. 2014-09	05/28/2014
845-10-60-3	Superseded	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

i General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

845-10-05-1 The Nonmonetary Transactions Topic contains only the Overall Subtopic. This Subtopic includes the following four Subsections:

- a. General
- b. Purchases and sales of inventory with the same counterparty
- c. Barter transactions
- d. Exchanges involving monetary considerations
- e. [Subparagraph superseded by Accounting Standards Update No. 2017-05.](#)

845-10-05-2 Most business transactions involve exchanges of cash or other [monetary assets or liabilities](#) for goods or services. The amount of monetary assets or liabilities exchanged generally provides an objective basis for measuring the cost of nonmonetary assets or services received by an entity as well as for measuring gain or loss on nonmonetary assets transferred from an entity. Some transactions, however, involve either of the following:

- a. An [exchange](#) with another entity (reciprocal transfer) that involves principally [nonmonetary assets or liabilities](#)
- b. A transfer of nonmonetary assets for which no assets are received or relinquished in exchange ([nonreciprocal transfer](#)).

845-10-05-3 Both exchanges and nonreciprocal transfers that involve little or no monetary assets or liabilities are referred to as nonmonetary transactions and they are presented in the General Subsections as follows:

- a. Nonreciprocal transfers with [owners](#)
- b. Nonreciprocal transfers with other than owners

- c. Nonmonetary exchanges.

> Nonreciprocal Transfers with Owners

845-10-05-4

Some nonmonetary transactions are nonreciprocal transfers between an entity and its owners. Examples include the following types of stockholder distributions:

- a. Marketable equity securities as dividends
- b. Marketable equity securities, to redeem or acquire outstanding capital stock of the entity
- c. Capital stock of [subsidiaries](#), in corporate liquidations or plans of reorganization that involve disposing of all or a significant segment of the entity (the plans are variously referred to as spinoffs, split-ups, and split-offs)
- d. Nonmonetary assets pursuant to plans of rescission or other settlements relating to a prior business combination, to redeem or acquire shares of capital stock previously issued in a business combination.

> Nonreciprocal Transfers with Other than Owners

845-10-05-5

Other nonmonetary transactions are nonreciprocal transfers between an entity and entities other than its owners. Examples are the contribution of nonmonetary assets by an entity to a charitable organization and the contribution of land by a governmental unit for construction of productive facilities by an entity.

> Nonmonetary Exchanges

845-10-05-6

Many nonmonetary transactions are exchanges of nonmonetary assets or services with another entity. Examples include the following:

- a. Exchange of product held for sale in the ordinary course of business (inventory) for other property as a means of selling the product to a customer
- b. Exchange of product held for sale in the ordinary course of business (inventory) for similar product as an accommodation - that is, at least one party to the exchange reduces transportation costs, meets immediate inventory needs, or otherwise reduces costs or facilitates ultimate sale of the product—and not as a means of selling the product to a customer
- c. Exchange of [productive assets](#)—assets employed in production rather than held for sale in the ordinary course of business - for other productive assets or for an equivalent interest in other productive assets. For example:
 - 1. Trade of player contracts by professional sports organizations
 - 2. Exchange of leases on mineral properties
 - 3. Exchange of one form of interest in an oil-producing property for another form of interest
 - 4. Exchange of real estate for real estate.

> Other Considerations

845-10-05-7

The guidance in the General Subsections often discusses nonmonetary transactions that are required to be measured at fair value. See Topic [820](#) for guidance on fair value measurement.

845-10-05-7A Subtopic [505-60](#) provides guidance on the distribution of nonmonetary assets that constitute a business to owners of an entity in transactions commonly referred to as spinoffs. That Subtopic also addresses spinoff transactions in which the substance of the transaction may differ from the legal form and provides guidance on how to determine such situations and their required accounting and reporting.

Purchases and Sales of Inventory with the Same Counterparty

845-10-05-8 The Purchases and Sales of Inventory with the Same Counterparty Subsections provide guidance for situations in which an entity sells inventory to another entity from which it also purchases inventory to be sold in the same line of business. The inventory purchase and sales transactions may be pursuant to a single arrangement or separate arrangements, and the inventory purchased or sold may be in the form of raw materials, work-in-process, or finished goods.

Barter Transactions

845-10-05-9 The Barter Transactions Subsections provide guidance on barter transactions and barter credits.

845-10-05-10 In a barter transaction involving barter credits, an entity enters into a transaction to [exchange](#) a [nonmonetary asset](#) (for example, inventory) for barter credits. Those transactions may occur directly between principals to the transaction or include a third party whose business is to facilitate those types of exchanges (for example, a barter entity). The barter credits can be used to purchase goods or services, such as advertising time, from either the barter entity or members of its barter exchange network. The goods and services to be purchased may be specified in a barter contract or limited to items made available by members of the exchange network. Some arrangements may require the payment of cash in addition to the barter credits to purchase goods or services. Barter credits also may have a contractual expiration date, at which time they become worthless.

Exchanges Involving Monetary Consideration

845-10-05-11 The Exchanges Involving Monetary Consideration Subsections provide guidance on the level of monetary consideration in a nonmonetary [exchange](#) that causes the transaction to be considered monetary in its entirety and, therefore, outside the scope of this Subtopic.

- a. [Subparagraph superseded by Accounting Standards Update No. 2017-05.](#)
- b. [Subparagraph superseded by Accounting Standards Update No. 2017-05.](#)
- c. [Subparagraph superseded by Accounting Standards Update No. 2014-09.](#)

Exchanges of a Nonfinancial Asset for a Noncontrolling Ownership Interest

845-10-05-12 [Paragraph superseded by Accounting Standards Update No. 2017-05.](#)

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

845-10-15-1 The General Subsection of the Scope Section of the Overall Subtopic establishes the pervasive scope for the Nonmonetary Transactions Topic, with specific exceptions noted in the other Subsections of this Section.

> Entities

845-10-15-2 The guidance in the Nonmonetary Transactions Topic applies to all entities.

> Transactions

845-10-15-3 The guidance in the Nonmonetary Transactions Topic applies to all types of nonmonetary transactions including:

- a. Nonmonetary exchanges involving boot. Some exchanges of [nonmonetary assets](#) involve a small monetary consideration, referred to as boot, even though the [exchange](#) is essentially nonmonetary. (See the [Exchanges Involving Monetary Consideration Subsection](#) of Section 845-10-15 for situations outside the scope of this Subtopic.)

845-10-15-4 The guidance in the Nonmonetary Transactions Topic does not apply to the following transactions:

- a. A business combination accounted for by an entity according to the provisions of Topic [805](#) or a combination accounted for by a [not-for-profit entity](#) according to the provisions of Subtopic [958-805](#)
- b. A transfer of nonmonetary assets solely between entities or persons under common control, such as between a parent and its [subsidiaries](#) or between two subsidiaries of the same parent, or between a corporate [joint venture](#) and its [owners](#)
- c. Acquisition of goods or services or consideration payable to customers involving issuance of the capital stock of an entity under Subtopic [718-10](#)
- d. Stock issued or received in stock dividends and stock splits that are accounted for in accordance with Subtopic [505-20](#)
- e. [Subparagraph superseded by Accounting Standards Update No. 2017-05.](#)
- f. A pooling of assets in a joint undertaking intended to find, develop, or produce oil or gas from a particular property or group of properties, as described in paragraph [932-360-40-7](#)
- g. The exchange of a part of an operating interest owned for a part of an operating interest owned by another party that is subject to paragraph [932-360-55-6](#)

- h. The transfer of a financial asset within the scope of Section [860-10-15](#)
- i. Involuntary conversions specified in paragraph [610-30-15-2](#)
- j. The transfer of goods or services in a [contract](#) with a [customer](#) within the scope of Topic [606](#) on [revenue](#) from contracts with customers in exchange for noncash consideration (see paragraphs [606-10-32-21](#) through [32-24](#))
- k. The transfer of a nonfinancial asset within the scope of Subtopic [610-20](#) in exchange for noncash consideration (see paragraphs [610-20-32-2](#) through [32-3](#), which require measurement consistent with paragraphs [606-10-32-21](#) through [32-24](#)).

 PENDING CONTENT

Transition Date:  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [805-60-65-1](#)

The guidance in the Nonmonetary Transactions Topic does not apply to the following transactions:

- a. A business combination accounted for by an entity according to the provisions of Topic [805](#) or a combination accounted for by a [not-for-profit entity](#) according to the provisions of Subtopic [958-805](#)
- b. A transfer of nonmonetary assets solely between entities or persons under common control, such as between a parent and its [subsidiaries](#) or between two subsidiaries of the same parent, or between a [joint venture](#) or a [corporate joint venture](#) and its [owners](#) (see Subtopic [805-60](#) for accounting for transfers of nonmonetary assets upon formation of a joint venture)
- c. Acquisition of goods or services or consideration payable to customers involving issuance of the capital stock of an entity under Subtopic [718-10](#)
- d. Stock issued or received in stock dividends and stock splits that are accounted for in accordance with Subtopic [505-20](#)
- e. [Subparagraph superseded by Accounting Standards Update No. 2017-05.](#)
- f. A pooling of assets in a joint undertaking intended to find, develop, or produce oil or gas from a particular property or group of properties, as described in paragraph [932-360-40-7](#)
- g. The exchange of a part of an operating interest owned for a part of an operating interest owned by another party that is subject to paragraph [932-360-55-6](#)
- h. The transfer of a financial asset within the scope of Section [860-10-15](#)
- i. Involuntary conversions specified in paragraph [610-30-15-2](#)
- j. The transfer of goods or services in a [contract](#) with a [customer](#) within the scope of Topic [606](#) on [revenue](#) from contracts with customers in exchange for noncash consideration (see paragraphs [606-10-32-21 through 32-24](#))
- k. The transfer of a nonfinancial asset within the scope of Subtopic [610-20](#) in exchange for noncash consideration (see paragraphs [610-20-32-2 through 32-3](#), which require measurement consistent with paragraphs [606-10-32-21 through 32-24](#)).

 PENDING CONTENT


Transition Date: P December 16, 2028; N December 16, 2029 | **Transition Guidance:** [832-10-65-2](#)

The guidance in the Nonmonetary Transactions Topic does not apply to the following transactions:

- a. A business combination accounted for by an entity according to the provisions of Topic [805](#) or a combination accounted for by a [not-for-profit entity](#) according to the provisions of Subtopic [958-805](#)
- b. A transfer of nonmonetary assets solely between entities or persons under common control, such as between a parent and its [subsidiaries](#) or between two subsidiaries of the same parent, or between a [joint venture](#) or a [corporate joint venture](#) and its [owners](#) (see Subtopic [805-60](#) for accounting for transfers of nonmonetary assets upon formation of a joint venture)
- c. Acquisition of goods or services or consideration payable to customers involving issuance of the capital stock of an entity under Subtopic [718-10](#)
- d. Stock issued or received in stock dividends and stock splits that are accounted for in accordance with Subtopic [505-20](#)
- e. [Subparagraph superseded by Accounting Standards Update No. 2017-05.](#)
- f. A pooling of assets in a joint undertaking intended to find, develop, or produce oil or gas from a particular property or group of properties, as described in paragraph [932-360-40-7](#)
- g. The exchange of a part of an operating interest owned for a part of an operating interest owned by another party that is subject to paragraph [932-360-55-6](#)
- h. The transfer of a financial asset within the scope of Section [860-10-15](#)
- i. Involuntary conversions specified in paragraph [610-30-15-2](#)
- j. The transfer of goods or services in a [contract](#) with a [customer](#) within the scope of Topic [606](#) on [revenue](#) from contracts with customers in exchange for noncash consideration (see paragraphs [606-10-32-21 through 32-24](#))
- k. The transfer of a nonfinancial asset within the scope of Subtopic [610-20](#) in exchange for noncash consideration (see paragraphs [610-20-32-2 through 32-3](#), which require measurement consistent with paragraphs [606-10-32-21 through 32-24](#))
- l. A [government grant](#) within the scope of Topic [832](#).

Purchases and Sales of Inventory with the Same Counterparty

> Overall Guidance

845-10-15-5 The Purchases and Sales of Inventory with the Same Counterparty Subsections follow the same Scope and Scope Exceptions as outlined in the General Subsection of this Subtopic, see paragraph [845-10-15-1](#), with specific transaction exceptions noted below.

> Transactions

845-10-15-6 The guidance in the Purchases and Sales of Inventory with the Same Counterparty Subsections applies to all inventory purchase and sales arrangements, including the following transactions:

- a. Two or more inventory purchase and sales transactions with the same counterparty that are entered into in contemplation of one another and are combined
- b. Situations in which one inventory transaction is legally contingent upon the performance of another inventory transaction with the same counterparty. In these situations the two transactions are deemed to have been entered into in contemplation of one another and would be considered a single [exchange](#) transaction subject to the scope of the Purchases and Sales of Inventory with the Same Counterparty Subsections.

845-10-15-7 The issuance of invoices and the exchange of offsetting cash payments is not a factor in determining whether two or more inventory purchase and sales transactions with the same counterparty shall be considered as a single exchange transaction subject to the scope of the Purchases and Sales of Inventory with the Same Counterparty Subsections.

845-10-15-8 The guidance in the Purchases and Sales of Inventory with the Same Counterparty Subsections does not apply to inventory purchases and sales arrangements that are accounted for as derivatives in accordance with Topic [815](#) on derivatives and hedging.

- a. [Subparagraph superseded by Accounting Standards Update No. 2014-09.](#)

845-10-15-9 The Purchases and Sales of Inventory with the Same Counterparty Subsections do not address whether transactions that are reported at fair value qualify for revenue recognition. See the [Exchanges Involving Monetary Consideration Subsection](#) of Section 845-10-15 for guidance regarding the extent of boot (that is, net cash exchanged) that shall be considered when determining whether the inventory purchase and sales transactions are monetary or nonmonetary in nature.

Barter Transactions

> Overall Guidance

845-10-15-10 The Barter Transactions Subsections follow the same Scope and Scope Exceptions as outlined in the General Subsection of this Subtopic, see paragraph [845-10-15-1](#), with specific transaction qualifications noted below.

> Transactions

845-10-15-11 The guidance in the Barter Transactions Subsections applies to the following transactions:

- a. Transactions in which nonmonetary assets are exchanged for barter credits.

Exchanges Involving Monetary Consideration

> Overall Guidance

845-10-15-12 The Exchanges Involving Monetary Consideration Subsections follow the same Scope and Scope Exceptions as outlined in the General Subsection of this Subtopic, see paragraph [845-10-15-1](#), and addresses what level of monetary consideration in a nonmonetary [exchange](#) causes the transaction to be considered monetary in its entirety and, therefore, outside the scope of the Exchanges Involving Monetary Consideration Subsections and this Topic.

> Transactions

- 845-10-15-13** The guidance in the Exchanges Involving Monetary Consideration Subsections applies to nonmonetary exchanges involving monetary consideration (boot).
- 845-10-15-14** The guidance in these Subsections does not apply to transfers between a [joint venture](#) and its [owners](#).
- [Subparagraph superseded by Accounting Standards Update No. 2014-09.](#)
 - [Subparagraph superseded by Accounting Standards Update No. 2014-09.](#)
- 845-10-15-15** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 845-10-15-16** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 845-10-15-17** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

Exchanges of a Nonfinancial Asset for a Noncontrolling Ownership Interest

- 845-10-15-18** [Paragraph superseded by Accounting Standards Update No. 2017-05.](#)
- 845-10-15-19** [Paragraph superseded by Accounting Standards Update No. 2017-05.](#)
- 845-10-15-20** [Paragraph superseded by Accounting Standards Update No. 2017-05.](#)

20 Glossary

i General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Business

Paragraphs [805-10-55-3A through 55-6](#) and [805-10-55-8 through 55-9](#) define what is considered a business.

Contract

An agreement between two or more parties that creates enforceable rights and obligations.

Corporate Joint Venture

A corporation owned and operated by a small group of entities (the joint venturers) as a separate and specific business or project for the mutual benefit of the members of the group. A government may also be a member of the group. The purpose of a corporate joint venture frequently is to share risks and rewards in developing a new market, product or technology; to combine complementary technological knowledge; or to pool resources in developing production or other facilities. A corporate joint venture also usually provides an arrangement under which each joint venturer may participate, directly or indirectly, in the overall management of the joint venture. Joint venturers thus have an interest or relationship other than as passive investors. An entity that is a subsidiary of one of the joint venturers is not a corporate joint venture. The ownership of a corporate joint venture seldom changes, and its stock is usually not traded publicly. A noncontrolling interest held by public ownership, however, does not preclude a corporation from being a corporate joint venture.

Customer

A party that has contracted with an entity to obtain goods or services that are an output of the entity's ordinary activities in exchange for consideration.

Equity Interests

Used broadly to mean ownership interests of investor-owned entities; owner, member, or participant interests of mutual entities; and owner or member interests in the net assets of not-for-profit entities.

Exchange

An exchange (or exchange transaction) is a reciprocal transfer between two entities that results in one of the entities acquiring assets or services or satisfying liabilities by surrendering other assets or services or incurring other obligations.

Fair Value

The price that would be received to sell an asset or paid to transfer a liability in an [orderly transaction](#) between [market participants](#) at the measurement date.

Government Grant

PENDING CONTENT



Transition Date:  December 16, 2028;  December 16, 2029 | **Transition Guidance:** [832-10-65-2](#)

A transfer of a [monetary asset](#) or a tangible nonmonetary asset, other than in an [exchange](#) transaction (including an exchange transaction that may be at a significant discount to [fair value](#)), from a government to an entity except for a [not-for-profit entity](#) and an employee benefit plan within the scope of Topics [960](#), [962](#), and [965](#) on plan accounting.

Joint Venture

An entity owned and operated by a small group of businesses (the joint venturers) as a separate and specific business or project for the mutual benefit of the members of the group. A government may also be a member of the group. The purpose of a joint venture frequently is to share risks and rewards in developing a new market, product, or technology; to combine complementary technological knowledge; or to pool resources in developing production or other facilities. A joint venture also usually provides an arrangement under which each joint venturer may participate, directly or indirectly, in the

overall management of the joint venture. Joint venturers thus have an interest or relationship other than as passive investors. An entity that is a subsidiary of one of the joint venturers is not a joint venture. The ownership of a joint venture seldom changes, and its equity interests usually are not traded publicly. A minority public ownership, however, does not preclude an entity from being a joint venture. As distinguished from a [corporate joint venture](#), a joint venture is not limited to corporate entities.

Market Participants

Buyers and sellers in the principal (or most advantageous) market for the asset or liability that have all of the following characteristics:

- a. They are independent of each other, that is, they are not [related parties](#), although the price in a related-party transaction may be used as an input to a fair value measurement if the reporting entity has evidence that the transaction was entered into at market terms
- b. They are knowledgeable, having a reasonable understanding about the asset or liability and the transaction using all available information, including information that might be obtained through due diligence efforts that are usual and customary
- c. They are able to enter into a transaction for the asset or liability
- d. They are willing to enter into a transaction for the asset or liability, that is, they are motivated but not forced or otherwise compelled to do so.

Monetary Assets

Money or a claim to receive a sum of money the amount of which is fixed or determinable without reference to future prices of specific goods or services.

Monetary Assets and Liabilities

Monetary assets and liabilities are assets and liabilities whose amounts are fixed in terms of units of currency by contract or otherwise. Examples are cash, short- or long-term accounts and notes receivable in cash, and short- or long-term accounts and notes payable in cash.

Nonmonetary Assets and Liabilities

Nonmonetary assets and liabilities are assets and liabilities other than monetary ones. Examples are inventories; investments in common stocks; property, plant, and equipment; and liabilities for rent collected in advance.

Nonprofit Activity

An integrated set of activities and assets that is capable of being conducted and managed for the purpose of providing benefits, other than goods or services at a profit or profit equivalent, as a fulfillment of an entity's purpose or mission (for example, goods or services to beneficiaries, customers, or members). As with a not-for-profit entity, a nonprofit activity possesses characteristics that distinguish it from a [business](#) or a for-profit business entity.

Nonreciprocal Transfer

Nonreciprocal transfer is a transfer of assets or services in one direction, either from an entity to its owners (whether or not in exchange for their ownership interests) or to another entity, or from owners or another entity to the entity. An entity's reacquisition of its outstanding stock is an example of a nonreciprocal transfer.

Not-for-Profit Entity

An entity that possesses the following characteristics, in varying degrees, that distinguish it from a business entity:

- a. Contributions of significant amounts of resources from resource providers who do not expect commensurate or proportionate pecuniary return
- b. Operating purposes other than to provide goods or services at a profit
- c. Absence of ownership interests like those of business entities.

Entities that clearly fall outside this definition include the following:

- a. All investor-owned entities
- b. Entities that provide dividends, lower costs, or other economic benefits directly and proportionately to their owners, members, or participants, such as mutual insurance entities, credit unions, farm and rural electric cooperatives, and employee benefit plans.

Orderly Transaction

A transaction that assumes exposure to the market for a period before the measurement date to allow for marketing activities that are usual and customary for transactions involving such assets or liabilities; it is not a forced transaction (for example, a forced liquidation or distress sale).

Owners

Used broadly to include holders of ownership interests ([equity interests](#)) of investor-owned entities, mutual entities, or not-for-profit entities. Owners include shareholders, partners, proprietors, or members or participants of mutual entities. Owners also include owner and member interests in the net assets of not-for-profit entities.

Productive Assets

Productive assets are assets held for or used in the production of goods or services by the entity. Productive assets include an investment in another entity if the investment is accounted for by the equity method but exclude an investment not accounted for by that method. Similar productive assets are productive assets that are of the same general type, that perform the same function, or that are employed in the same line of business.

Related Parties

Related parties include:

- a. Affiliates of the entity
- b. Entities for which investments in their equity securities would be required, absent the election of the fair value option under the [Fair Value Option Subsection](#) of Section 825-10-15, to be accounted for by the equity method by the investing entity
- c. Trusts for the benefit of employees, such as pension and profit-sharing trusts that are managed by or under the trusteeship of management
- d. Principal owners of the entity and members of their immediate families
- e. Management of the entity and members of their immediate families
- f. Other parties with which the entity may deal if one party controls or can significantly influence the management or operating policies of the other to an extent that one of the transacting parties might be prevented from fully pursuing its own separate interests
- g. Other parties that can significantly influence the management or operating policies of the transacting parties or that have an ownership interest in one of the transacting parties and can significantly influence the other to an extent that one or more of the transacting parties might be prevented from fully pursuing its own separate interests.

Revenue

Inflows or other enhancements of assets of an entity or settlements of its liabilities (or a combination of both) from delivering or producing goods, rendering services, or other activities that constitute the entity's ongoing major or central operations.

Split-off

A transaction in which a parent entity exchanges its stock in a subsidiary for parent entity stock held by its shareholders.

Subsidiary

An entity, including an unincorporated entity such as a partnership or trust, in which another entity, known as its parent, holds a controlling financial interest. (Also, a variable interest entity that is consolidated by a primary beneficiary.)

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

> Basic Principle

845-10-25-1 A reciprocal transfer of a [nonmonetary asset](#) shall be deemed an [exchange](#) only if the transferor has no substantial continuing involvement in the transferred asset such that the usual risks and rewards of ownership of the asset are transferred.

845-10-25-2 See Section [845-10-30](#) for general guidance on gain or loss recognition for nonmonetary transactions.

> Spinoffs or Other Distributions of Loans Receivable to Shareholders

845-10-25-3 When an entity distributes loans receivable to its [owners](#) by forming a [subsidiary](#), transferring those loans receivable to the subsidiary, and then distributing the stock of that subsidiary to shareholders of the parent, the transaction is not a spinoff because the subsidiary does not constitute a business. Rather, the transaction shall be considered a dividend-in-kind.

Purchases and Sales of Inventory with the Same Counterparty

845-10-25-3A See paragraphs [845-10-15-6 through 15-7](#) for the requirements to combine inventory purchase and sales transactions with the same counterparty that are entered into in contemplation of one another, or that are legally contingent.

845-10-25-4 In situations in which an inventory transaction is not legally contingent upon the performance of another inventory transaction with the same counterparty, the following factors (referred to as indicators) may indicate that a purchase transaction and a sales transaction were entered into in contemplation of one another:

- a. There is a specific legal right of offset of obligations between counterparties involved in inventory purchase and sales transactions. The ability to offset the payable(s) and receivable(s) related to the separately documented inventory purchase and sales transactions indicates that there is a link between them and, therefore, it is an indicator that the separately documented inventory transactions were entered into in contemplation of one another. This indicator is more relevant to settlement provisions relating to inventory purchase and sales transactions that are specifically identified (specified legal right of offset) by both counterparties than to inventory transactions that are netted as part of a master netting agreement that encompasses all transactions (inventory and noninventory) between the two counterparties.
- b. Inventory purchase and sales transactions with the same counterparty are entered into simultaneously. If an inventory purchase transaction is simultaneously entered into with an inventory sales transaction with the same counterparty that is an indication that the transactions were entered into in contemplation of one another.
- c. Inventory purchase and sales transactions were entered into at terms that were off-market when the arrangement was agreed to between counterparties. If an entity enters into an off-market inventory transaction with a counterparty, that is an indication that the transaction is linked to, and entered into, in contemplation of another inventory transaction with that same counterparty. This indicator may be more relevant for transactions with products that have readily determinable market prices, such as [exchange](#)-traded commodities, than for transactions with products that are subject to greater discretionary pricing.
- d. Relative certainty that reciprocal inventory transactions with the same counterparty will occur. An entity may sell inventory to a counterparty and enter into another arrangement with that same counterparty whereby that counterparty may, but is not contractually required to, deliver an agreed-upon inventory amount. If that counterparty chooses to deliver its product to the entity, the entity is obligated to purchase that product. The more certain it is that both inventory transactions will occur, the stronger the indication that the two inventory transactions were entered into in contemplation of one another.

None of the above indicators taken individually is determinative nor is the list all-inclusive.

845-10-25-5 If two or more inventory purchase and sales transactions are combined for the purposes of applying the guidance in this Subtopic, an entity shall apply the guidance in paragraphs [845-10-30-15 through 30-16](#).

Exchanges Involving Monetary Consideration

845-10-25-6 An [exchange](#) of [nonmonetary assets](#) that would otherwise be based on recorded amounts but that also involves monetary consideration (boot) shall be considered monetary (rather than nonmonetary) if the boot is significant. Significant shall be defined as at least 25 percent of the fair value of the exchange. If the boot in a transaction is less than 25 percent, the pro rata gain recognition guidance in paragraph [845-10-30-6](#) shall be applied by the receiver of boot, and the payer of boot would not recognize a gain.

845-10-25-7 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

845-10-25-8 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

845-10-25-9 Paragraph superseded by Accounting Standards Update No. 2017-05.

845-10-25-10 Paragraph superseded by Accounting Standards Update No. 2017-05.

845-10-25-11 Paragraph superseded by Accounting Standards Update No. 2017-05.

845-10-25-12 Paragraph superseded by Accounting Standards Update No. 2017-05.

30 Initial Measurement

i General Note: The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

General

> Basic Principle

845-10-30-1 In general, the accounting for nonmonetary transactions should be based on the fair values of the assets (or services) involved, which is the same basis as that used in monetary transactions. Thus, the cost of a **nonmonetary asset** acquired in **exchange** for another nonmonetary asset is the fair value of the asset surrendered to obtain it, and a gain or loss shall be recognized on the exchange. The fair value of the asset received shall be used to measure the cost if it is more clearly evident than the fair value of the asset surrendered. Similarly, a nonmonetary asset received in a **nonreciprocal transfer** shall be recorded at the fair value of the asset received. A transfer of a nonmonetary asset to a stockholder or to another entity in a nonreciprocal transfer shall be recorded at the fair value of the asset transferred and a gain or loss shall be recognized on the disposition of the asset.

845-10-30-2 The fair value of an entity's own stock reacquired may be a more clearly evident measure of the fair value of the asset distributed in a nonreciprocal transfer if the transaction involves distribution of a nonmonetary asset to eliminate a disproportionate part of **owners'** interests (that is, to acquire stock for the treasury or for retirement). If one of the parties in a nonmonetary transaction could have elected to receive cash instead of the nonmonetary asset, the amount of cash that could have been received may be evidence of the fair value of the nonmonetary assets exchanged.

> Modifications of the Basic Principle

845-10-30-3 A nonmonetary exchange shall be measured based on the recorded amount (after reduction, if appropriate, for an indicated impairment of value as discussed in paragraph **360-10-40-4**) of the nonmonetary asset(s) relinquished, and not on the fair values of the exchanged assets, if any of the following conditions apply:

- The fair value of neither the asset(s) received nor the asset(s) relinquished is determinable within reasonable limits.

- b. The transaction is an exchange of a product or property held for sale in the ordinary course of business for a product or property to be sold in the same line of business to facilitate sales to customers other than the parties to the exchange.
- c. The transaction lacks commercial substance (see the following paragraph).

> Commercial Substance

845-10-30-4

A nonmonetary exchange has commercial substance if the entity's future cash flows are expected to significantly change as a result of the exchange. The entity's future cash flows are expected to significantly change if either of the following criteria is met:

- a. The configuration (risk, timing, and amount) of the future cash flows of the asset(s) received differs significantly from the configuration of the future cash flows of the asset(s) transferred. The configuration of future cash flows is composed of the risk, timing, and amount of the cash flows. A change in any one of those elements would be a change in configuration.
- b. The entity-specific value of the asset(s) received differs from the entity-specific value of the asset(s) transferred, and the difference is significant in relation to the fair values of the assets exchanged. An entity-specific value (referred to as an entity-specific measurement in FASB Concepts Statement No. 7, Using Cash Flow Information and Present Value in Accounting Measurements) is different from a fair value measurement. As described in paragraph 24(b) of Concepts Statement No. 7, an entity-specific value attempts to capture the value of an asset or liability in the context of a particular entity. For example, an entity computing an entity-specific value of an asset would use its expectations about its use of that asset rather than the use assumed by marketplace participants. If it is determined that the transaction has commercial substance, the exchange would be measured at fair value, rather than at the entity-specific value.

A qualitative assessment will, in some cases, be conclusive in determining that the estimated cash flows of the entity are expected to significantly change as a result of the exchange.

PENDING CONTENT



Transition Date:  December 16, 2024;  December 16, 2025 | **Transition Guidance:** [105-10-65-9](#)

A nonmonetary exchange has commercial substance if the entity's future cash flows are expected to significantly change as a result of the exchange. The entity's future cash flows are expected to significantly change if either of the following criteria is met:

- a. The configuration (risk, timing, and amount) of the future cash flows of the asset(s) received differs significantly from the configuration of the future cash flows of the asset(s) transferred. The configuration of future cash flows is composed of the risk, timing, and amount of the cash flows. A change in any one of those elements would be a change in configuration.
- b. The entity-specific value of the asset(s) received differs from the entity-specific value of the asset(s) transferred, and the difference is significant in relation to the fair values of the assets exchanged. An entity-specific value is different from a fair value measurement. An entity-specific value attempts to capture the value of an asset or liability in the context of a particular entity. For example, an entity computing an entity-specific value of an asset would use its expectations about its use of that asset rather than the use assumed by marketplace participants. If it is determined that the transaction has commercial substance, the exchange would be measured at fair value, rather than at the entity-specific value.

A qualitative assessment will, in some cases, be conclusive in determining that the estimated cash flows of the entity are expected to significantly change as a result of the exchange.

- 845-10-30-5** In the United States and some other tax jurisdictions, a transaction is not given effect for tax purposes unless it serves a legitimate business purpose other than tax avoidance. In assessing the commercial substance of an exchange, tax cash flows that arise solely because the tax business purpose is based on achieving a specified financial reporting result shall not be considered.
- 845-10-30-6** The exchanges of nonmonetary assets that would otherwise be based on recorded amounts (see paragraph [845-10-30-3](#)) may include an amount of monetary consideration. The recipient of the monetary consideration has realized gain on the exchange to the extent that the amount of the monetary receipt exceeds a proportionate share of the recorded amount of the asset surrendered. The portion of the cost applicable to the realized amount shall be based on the ratio of the monetary consideration to the total consideration received (monetary consideration plus the estimated fair value of the nonmonetary asset received) or, if more clearly evident, the fair value of the nonmonetary asset transferred. The entity paying the monetary consideration shall not recognize any gain on a transaction covered in paragraph [845-10-30-3](#) but shall record the asset received at the amount of the monetary consideration paid plus the recorded amount of the nonmonetary asset surrendered. If a loss is indicated by the terms of a transaction described in this paragraph or in that paragraph, the entire indicated loss on the exchange shall be recognized.
- 845-10-30-7** See paragraph [845-10-25-6](#) for guidance on what level of monetary consideration is deemed significant and results in the exchange to be considered monetary (rather than nonmonetary).

> Applying the Basic Principle

- 845-10-30-8** Fair value should be regarded as not determinable within reasonable limits if major uncertainties exist about the realizability of the value that would be assigned to an asset received in a nonmonetary transaction accounted for at fair value. An exchange involving parties with essentially opposing interests is not considered a prerequisite to determining a fair value of a nonmonetary asset transferred; nor does an exchange ensure that a fair value for accounting purposes can be ascertained within reasonable limits. If neither the fair value of a nonmonetary asset transferred nor the fair value of a nonmonetary asset received in exchange is determinable within reasonable limits, the recorded amount of the nonmonetary asset transferred from the entity may be the only available measure of the transaction.
- 845-10-30-9** A difference between the amount of gain or loss recognized for tax purposes and that recognized for accounting purposes may constitute a temporary difference to be accounted for according to Subtopic [740-10](#).

> Nonreciprocal Transfers with Owners

- 845-10-30-10** Accounting for the distribution of nonmonetary assets to owners of an entity in a spinoff or other form of reorganization or liquidation or in a plan that is in substance the rescission of a prior business combination shall be based on the recorded amount (after reduction, if appropriate, for an indicated impairment of value) (see paragraph [360-10-40-4](#)) of the nonmonetary assets distributed. Subtopic [505-60](#) provides additional guidance on the distribution of nonmonetary assets that constitute a [business](#) to owners of an entity in transactions commonly referred to as spinoffs. A pro rata distribution to owners of an entity of shares of a [subsidiary](#) or other investee entity that has been or is being consolidated or that has been or is being accounted for under the equity method is to be considered to be equivalent to a spinoff. Other nonreciprocal transfers of nonmonetary assets to owners shall be accounted for at fair value if the fair value of the nonmonetary asset distributed is objectively measurable and would be clearly realizable to the distributing entity in an outright sale at or near the time of the distribution.

845-10-30-11 See Section [845-10-55](#) for implementation guidance and illustrations of when an entity transfers pension assets or obligations in a spinoff.

· > Accounting for Reorganizations Involving a Non-Pro-Rata Split-off of Certain Nonmonetary Assets to Owners

845-10-30-12 A non-pro-rata [split-off](#) of a segment of a business in a corporate plan of reorganization shall be accounted for at fair value.

845-10-30-13 A split-off of a targeted business, distributed on a pro rata basis to the holders of the related targeted stock, shall be accounted for at historical cost. If the targeted stock was created in contemplation of the subsequent split-off, the two steps (creation of the targeted stock and the split-off) cannot be separated and shall be viewed as one transaction with the split-off being accounted for at fair value.

· > Spinoffs or Other Distributions of Loans Receivable to Shareholders

845-10-30-14 A dividend-in-kind recognized under paragraph [845-10-25-3](#) shall be measured initially at fair value by the entity and the recipient.

Purchases and Sales of Inventory with the Same Counterparty

845-10-30-15 A nonmonetary [exchange](#) whereby an entity transfers finished goods inventory in exchange for the receipt of raw materials or work-in-process inventory within the same line of business is not an exchange transaction to facilitate sales to customers for the entity transferring the finished goods, as described in paragraph [845-10-30-3\(b\)](#), and, therefore, shall be recognized by that entity at fair value if both of the following conditions are met:

- a. Fair value is determinable within reasonable limits.
- b. The transaction has commercial substance (see paragraph [845-10-30-4](#)).

845-10-30-16 All other nonmonetary exchanges of inventory within the same line of business shall be recognized at the carrying amount of the inventory transferred. That is, a nonmonetary exchange within the same line of business involving either of the following shall not be recognized at fair value:

- a. The transfer of raw materials or work-in-process inventory in exchange for the receipt of raw materials, work-in-process, or finished goods inventory
- b. The transfer of finished goods inventory for the receipt of finished goods inventory.

Barter Credit Transactions

845-10-30-17 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

845-10-30-18 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

845-10-30-19 An impairment loss on the barter credits shall be recognized if it subsequently becomes apparent that either of the following conditions exists:

- a. The fair value of any remaining barter credits is less than the carrying amount.
- b. It is probable that the entity will not use all of the remaining barter credits.

845-10-30-20 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

Exchanges Involving Monetary Consideration

> Overall Guidance

845-10-30-21 As a monetary transaction, both parties would record the [exchange](#) at fair value (as discussed in paragraph [845-10-25-6](#)). The ability to satisfactorily measure fair value is a prerequisite to the use of fair value.

845-10-30-22 [Paragraph superseded by Accounting Standards Update No. 2017-05.](#)

845-10-30-23 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

Exchanges of a Nonfinancial Asset for a Noncontrolling Ownership Interest

845-10-30-24 [Paragraph superseded by Accounting Standards Update No. 2017-05.](#)

845-10-30-25 [Paragraph superseded by Accounting Standards Update No. 2017-05.](#)

845-10-30-25A [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

845-10-30-25B [Paragraph superseded by Accounting Standards Update No. 2017-05.](#)

845-10-30-25C [Paragraph superseded by Accounting Standards Update No. 2017-05.](#)

845-10-30-26 [Paragraph superseded by Accounting Standards Update No. 2017-05.](#)

845-10-30-27 [Paragraph superseded by Accounting Standards Update No. 2017-05.](#)

45 Other Presentation Matters

General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

Purchases and Sales of Inventory with the Same Counterparty

845-10-45-1 The classification of inventory as raw materials, work-in-process, and finished goods for purposes of the Purchases and Sales of Inventory with the Same Counterparty Subsections shall be the same classification that an entity uses for external financial reporting purposes.

50 Disclosure

General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

845-10-50-1 An entity that engages in one or more nonmonetary transactions during a period shall disclose in financial statements for the period all of the following:

- a. The nature of the transactions
- b. The basis of accounting for the assets transferred
- c. Gains or losses recognized on transfers.

 PENDING CONTENT 

Transition Date:  December 16, 2026;  December 16, 2026 | **Transition Guidance:** [220-40-65-1](#)

An entity that engages in one or more nonmonetary transactions during a period shall disclose in financial statements for the period all of the following:

- a. The nature of the transactions
- b. The basis of accounting for the assets transferred
- c. Gains or losses recognized on transfers.

See paragraphs [220-40-50-21 through 50-25](#) for additional disclosure requirements.

845-10-50-2 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

Purchase and Sales of Inventory

845-10-50-3 An entity shall disclose the amount of revenue and costs (or gains and losses) associated with inventory exchanges recognized at fair value.

55 Implementation Guidance and Illustrations

General Note: The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

> Implementation Guidance

· > Transfer of Pension Assets or Obligations in a Spinoff

845-10-55-1 Paragraph [845-10-30-10](#) does not permit gain or loss recognition for the spinoff of [nonmonetary assets](#) to [owners](#) of an entity. That prohibition also shall apply to pension-related assets or obligations transferred in a spinoff. The transition asset or obligation remaining in accumulated other comprehensive income and net gain or loss included in accumulated other comprehensive income shall be allocated to each pension plan in proportion to the projected benefit obligations of the two pension plans. Prior service cost included in accumulated other comprehensive income shall be allocated to the pension plans based on the applicable individuals included in the employee groups covered. See paragraphs [715-30-55-124 through 55-127](#), which addresses the division of a pension plan. (The accounting treatment for a spinoff that involves a division of a pension plan should be similar to that for a spinoff involving a pension plan that was previously part of a larger pension plan.)

· > Summary of Guidance

845-10-55-2 The following table summarizes the guidance contained in this Subtopic.

		ASSET RECEIVED		
		Investment accounted for by the equity method	Controlled asset or group of assets that does not meet the definition of a business	Controlled group of assets that meets the definition of a business
A S S E T G I V E N U P	Investment accounted for by the equity method	A transfer of an equity method investment should be accounted for under the provisions of Topic 860.		Fair value (Topic 805)
	Controlled asset or group of assets that does not meet the definition of a business	If the contract is with a customer and within the scope of Topic 606, apply Topic 606. If the contract is not within the scope of Topic 606, evaluate if the transaction is within the scope of Subtopic 610-20. If so, apply Subtopic 610-20. If the contract is not within the scope of Subtopic 610-20 and is within the scope of Topic 845, apply Topic 845. Otherwise, apply other GAAP.		Fair value (Topic 805)
	Controlled group of assets that meets the definition of a business	If the controlled group of assets that meets the definition of a business is a conveyance of oil and gas mineral rights, apply Subtopic 932-360. Otherwise, apply Subtopic 810-10.		Fair value (Topic 805)

> Illustrations

· > Example 1: Transfer of Pension Benefit Obligation or Plan Assets in Spinoff

845-10-55-3 This Example illustrates how an employer shall account for the transfer of a pension benefit obligation or plan assets to a spun-off entity's new pension plan.

845-10-55-4 An employer (Entity A) incorporates a division (Entity B) and subsequently spins it off to the owners of the entity. The new entity assumes Entity A's projected benefit obligation under its pension plan (Old Plan) for the employees that are transferred as part of the spinoff. The accumulated benefit obligation for those employees (\$30,000) is fully vested at the date of the spinoff. The portion of the projected benefit obligation attributable to the future compensation levels for those employees is \$6,000. No plan assets are transferred to the new entity's pension plan (New Plan).

845-10-55-5 The following Cases illustrate two scenarios:

- Accounting for a transfer of a pension benefit obligation only (Case A)
- Accounting for a transfer of a plan assets and a pension benefit obligation (Case B).

· · > Case A: Accounting for a Transfer of a Pension Benefit Obligation

845-10-55-6 The following is the funded status of the pension plans immediately before and after the spinoff.

	Before Spinoff	After Spinoff	
	Old Plan	Old Plan	New Plan
Assets and obligations:			
Accumulated benefit obligation	\$ (72,000)	\$ (42,000)	\$ (30,000)
Effect of future compensation levels	(18,000)	(12,000)	(6,000)
Projected benefit obligation	(90,000)	(54,000) ^(a)	(36,000) ^(a)
Plan assets at fair value	160,000	160,000 ^(b)	- ^(b)
Funded status and recognized asset (liability)	<u>\$ 70,000</u>	<u>\$ 106,000</u>	<u>\$ (36,000)</u>
Amounts recognized in accumulated other comprehensive income:			
Transition asset	\$ (40,000)	\$ (24,000) ^(c)	\$ (16,000) ^(c)
Prior service cost	25,000	17,500 ^(d)	7,500 ^(d)
Net gain	(55,000)	(33,000) ^(c)	(22,000) ^(c)
	<u>\$ (70,000)</u>	<u>\$ (39,500)</u>	<u>\$ (30,500)</u>

- (a) Allocation based on individual employees covered by each pension plan.
 (b) Allocation determined by Entity A. (Case assumes that no regulatory requirements apply.)
 (c) Allocation based on percentage of total projected benefit obligation (\$90,000) assumed by each pension plan, which is 60 percent and 40 percent for the Old Plan and New Plan, respectively.
 (d) Allocation based on prior service associated with the future years of service of the individual employees covered by each pension plan.

845-10-55-7

The journal entries to account for the spinoff are as follows.

Entity A

Pension asset	\$ 36,000
Accumulated other comprehensive income—transition asset	16,000
Accumulated other comprehensive income—net gain	22,000
Stockholders' equity ^(a)	\$ 66,500
Accumulated other comprehensive income—prior service cost	7,500

- (a) The accounting within stockholders' equity is not addressed (other than for components of accumulated other comprehensive income). The equity accounts are those used to account for all assets and liabilities transferred or received as part of the spinoff. No gain or loss results from the spinoff.

To record the transfer of a pension benefit obligation and net deferred amounts from Entity A to Entity B

Entity B

Stockholders' equity ^(a)	\$ 66,500
Accumulated other comprehensive income—prior service cost	7,500
Pension liability	\$36,000
Accumulated other comprehensive income—transition asset	16,000
Accumulated other comprehensive income—net gain	22,000

- (a) The accounting within stockholders' equity is not addressed (other than for components of accumulated other comprehensive income). The equity accounts are those used to account for all assets and liabilities transferred or received as part of the spinoff. No gain or loss results from the spinoff.

To record the receipt of a pension benefit obligation and net deferred amounts from Entity A (Entity B should not recognize the effects of assuming the pension benefit obligation as the cost of either a pension plan amendment or an initiation of a pension plan that is subject to amortization.)

· · > Case B: Accounting for a Transfer of a Pension Benefit Obligation and Plan Assets

845-10-55-8

In this Case, the plan assets (\$28,000) are also transferred to the New Plan. The following is the funded status of the pension plans immediately before and after the spinoff.

	Before Spinoff	After Spinoff	
	Old Plan	Old Plan	New Plan
Assets and obligations:			
Accumulated benefit obligation	\$ (72,000)	\$ (42,000)	\$ (30,000)
Effect of future compensation levels	(18,000)	(12,000)	(6,000)
Projected benefit obligation	(90,000)	(54,000) ^(a)	(36,000) ^(a)
Plan assets at fair value	160,000	132,000 ^(b)	28,000 ^(b)
Funded status and recognized asset (liability)	<u>\$ 70,000</u>	<u>\$ 78,000</u>	<u>\$ (8,000)</u>
Amounts recognized in accumulated other comprehensive income:			
Transition asset	\$ (40,000)	\$ (24,000) ^(c)	\$ (16,000) ^(c)
Prior service cost	25,000	17,500 ^(d)	7,500 ^(d)
Net gain	(55,000)	(33,000) ^(c)	(22,000) ^(c)
	<u>\$ (70,000)</u>	<u>\$ (39,500)</u>	<u>\$ (30,500)</u>

(a) Allocation based on individual employees covered by each pension plan.

(b) Allocation determined by Entity A. (Illustration assumes that no regulatory requirements apply.)

(c) Allocation based on percentage of total projected benefit obligation (\$90,000) assumed by each pension plan, which is 60 percent and 40 percent for the Old Plan and New Plan, respectively.

(d) Allocation based on prior service cost associated with the future years of service of the individual employees covered by each pension plan.

845-10-55-9

The journal entries to account for the spinoff are as follows.

Entity A

Pension asset	\$ 8,000
Accumulated other comprehensive income—transition asset	16,000
Accumulated other comprehensive income—net gain	22,000
Stockholders' equity ^(a)	\$ 38,500
Accumulated other comprehensive income—prior service cost	7,500

(a) The accounting within stockholders' equity is not addressed (other than for components of accumulated other comprehensive income). The equity accounts are those used to account for all assets and liabilities transferred or received as part of the spinoff. No gain or loss results from the spinoff.

To record the transfer of plan assets, a pension benefit obligation, and net deferred amounts from Entity A to Entity B

Entity B

Stockholders' equity ^(a)	\$ 38,500
Accumulated other comprehensive income—prior service cost	7,500
Pension liability	\$ 8,000
Accumulated other comprehensive income—transition asset	16,000
Accumulated other comprehensive income—net gain	22,000

(a) The accounting within stockholders' equity is not addressed (other than for components of accumulated other comprehensive income). The equity accounts are those used to account for all assets and liabilities transferred or received as part of the spinoff. No gain or loss results from the spinoff.

To record the receipt of plan assets, a pension benefit obligation, and net deferred amounts from Entity A (Entity B should not recognize the effects of assuming the pension benefit obligation as the cost of either a pension plan amendment or an initiation of a pension plan that is subject to amortization or the receipt of cash as a gain subject to amortization.)

Purchases and Sales of Inventory with the Same Counterparty

> Illustrations

845-10-55-10

The application of the indicators (see paragraph 845-10-25-4) depends on the relative facts and circumstances and requires significant judgment. The assessment of that judgment in a given fact pattern is based on the assumed facts; accordingly, judgment will vary in differing fact patterns.

· > Example 1: Sale and Purchase of Inventory Between Two Oil Entities

845-10-55-11

This Example illustrates the following:

- a. Whether the described transaction shall be viewed as a single [exchange](#) transaction as discussed in paragraphs [845-10-25-4 through 25-5](#)
- b. Whether the nonmonetary exchange of inventory within the same line of business shall be recognized at fair value as discussed in paragraphs [845-10-30-15 through 30-16](#).

845-10-55-12

Oil Entity A produces heavy crude oil (dense, viscous crude oil) in California and has refining operations in other parts of the United States including West Texas. Given its supply-chain management needs, Entity A would like to acquire West Texas intermediate crude oil in the most cost-efficient manner.

845-10-55-13

As part of its analysis in determining the most cost-efficient approach to acquiring West Texas intermediate crude oil, Entity A uses the following available information regarding the current oil needs (demand) and excess oil capacity (supply) of the various oil entities.

Entity	Demand/Location	Supply/Location
Entity A	West Texas intermediate crude oil/Texas	Heavy crude oil/California
Entity B	Heavy crude oil/California	Sweet crude oil/Oklahoma
Entity C	Sweet crude oil/Oklahoma	West Texas intermediate crude oil/Texas

845-10-55-14

Entity A enters into an arrangement to sell Entity B a specified quantity of its California production and enters into a separate arrangement at the same time to purchase a specified quantity of Entity B's sweet crude oil production in Oklahoma. Also at the same time, Entity A enters into an arrangement to sell Entity C the sweet crude oil in Oklahoma purchased from Entity B, and enters into a separate arrangement at the same time to acquire a specified quantity and quality of West Texas intermediate crude oil from Entity C for its West Texas refining operations.

845-10-55-15

Entity A issues invoices and purchase orders for each transaction and each is gross-cash settled at market prices. Although the quantities differ, there is an insignificant difference in total value of oil being exchanged in each transaction. Entity A would not sell its inventory to Entity B or Entity C without an understanding that the counterparty will perform. Entity A considers all crude oil to be the same class of inventory (that is, raw materials) for purposes of financial reporting. Entity A does not account for these arrangements as derivatives; therefore, the guidance in Subtopic [815-10](#) is not applicable.

845-10-55-16

Based on an evaluation of the circumstances, Entity A's inventory purchase and sales transactions with Entity B were entered into in contemplation of one another because the sole purpose of selling inventory was to procure inventory from the same counterparty in the most cost-efficient manner. While it is a matter of judgment as to whether Entity A entered into its inventory purchase and sales transactions with Entity B in contemplation of one another, certain factors support this assessment. For instance, the transaction to sell inventory was entered into simultaneously with the transaction to purchase inventory. In addition, the sole purpose of selling heavy crude oil inventory is to facilitate the purchase of sweet crude oil inventory. Although the purpose of a transaction is not explicitly identified as an indicator in the consensus guidance, it is nevertheless relevant to the assessment of whether the inventory transactions were entered into in contemplation of one another. While the inventory transactions were not settled on a net basis nor were they entered into at off-market prices, the other indicators, together with the specific facts and circumstances described above, provide persuasive evidence that the transactions were entered into in contemplation of one another. Therefore, although each transaction was separately documented and gross-cash settled at market prices, the inventory transactions should be deemed a single exchange between Entity A and Entity B for purposes of applying the guidance in the Purchases and Sales of Inventory with the Same Counterparty Subsections. From the perspective of Entity A, an analysis of the inventory purchase and sales transactions between Entity A and Entity C would result in the same conclusion as the analysis of the transactions between Entity A and Entity B.

845-10-55-17

Entity A would recognize the single exchange transactions with both Entity B and Entity C at carryover basis because, from Entity A's perspective, the same class of inventory (raw materials for raw materials) was surrendered and received.

· > Example 2: Sale and Purchase of Inventory Between Auto Dealers

845-10-55-18 This Example illustrates the following:

- a. Whether the described transaction shall be viewed as a single exchange transaction as discussed in paragraphs [845-10-25-4 through 25-5](#)
- b. Whether the nonmonetary exchange of inventory within the same line of business shall be recognized at fair value as discussed in paragraphs [845-10-30-15 through 30-16](#).

845-10-55-19 Dealer A in Suburb X has an excess inventory of cars relative to near-term expected demand and does not have enough pickup trucks to meet near-term expected demand. Dealer B in Suburb Y has an excess inventory of pickup trucks and not enough cars to meet near-term expected demand. Dealer A negotiates an arrangement to sell a specified number of cars to Dealer B and, although not committed to do so, Dealer B may deliver pickup trucks of equivalent value at wholesale prices to Dealer A. Dealer A must purchase pickup trucks from Dealer B if Dealer B chooses to deliver the trucks the following week. Historically, Dealer B has always delivered the trucks to Dealer A under these types of arrangements. At the time Dealer A delivers its cars to Dealer B, Dealer A believes Dealer B will ship the trucks the following week. Each transaction is separately documented and gross-cash settled at wholesale prices on the date of delivery.

845-10-55-20 Based on an evaluation of the circumstances, Dealer A's inventory sales transaction was entered into in contemplation of a reciprocal inventory purchase transaction from Dealer B because, as a condition of selling inventory to Dealer B, Dealer A must accept delivery of trucks from Dealer B at a later date, if Dealer B chooses to make such a delivery. Consistent with past history, when Dealer A enters into this kind of arrangement with Dealer B, Dealer A fully expects to purchase the trucks. Therefore, the sale of the cars should be considered combined with the purchase of the trucks.

845-10-55-21 While it is a matter of judgment as to whether Dealer A entered into its inventory sales transaction in contemplation of the inventory purchase transaction, certain factors support this assessment. For instance, a transaction to sell cars to Dealer B was entered into with an anticipated transaction to purchase trucks from Dealer B (if Dealer B chooses to deliver the trucks) simultaneously. Even though the transaction to purchase trucks depended on whether Dealer B chose to deliver, Dealer A believed that there was a high degree of certainty that Dealer B would deliver. In addition, because the inventory pricing is at wholesale, it indicates that these transactions were not on the same terms as transactions with their typical retail customers. While this last factor is not related to a specific indicator (see guidance in paragraph [845-10-25-4](#)), it is relevant in assessing the nature of the relationship between Dealer A and Dealer B in the context of the purchase and sales transactions. While Dealer A and Dealer B did not agree to net-settle the inventory transactions, the expectation of a reciprocal purchase transaction from Dealer B in the context of the relationship between Dealer A and Dealer B indicates that the sale transaction by Dealer A to Dealer B was entered into in contemplation of the purchase transaction from Dealer B. Therefore, although each transaction was separately documented and gross-cash settled, these inventory transactions should be deemed a single exchange for purposes of applying the [Purchases and Sales of Inventory with the Same Counterparty Subsection](#) of Section 845-10-30.

845-10-55-22 When evaluating the inventory transactions as a single nonmonetary exchange, Dealer A would recognize the transactions at carryover basis because the same class of inventory is being exchanged (finished goods exchanged for finished goods).

· > Example 3: Sale and Purchase of Inventory Between Two Manufacturers

845-10-55-23 This Example illustrates the following:

- a. Whether the described transaction shall be viewed as a single exchange transaction as discussed in paragraphs [845-10-25-4 through 25-5](#)

b. Whether the nonmonetary exchange of inventory within the same line of business shall be recognized at fair value as discussed in paragraphs [845-10-30-15](#) through [30-16](#).

- 845-10-55-24** Multinational Manufacturer A has a longstanding business relationship with multinational Manufacturer B, whereby each manufacturer will buy and sell inventory from the other on an as-needed basis at market prices. Manufacturer A sells materials to Manufacturer B based on a purchase order from Manufacturer B. Two days later, Manufacturer B sells materials to Manufacturer A based on a separate purchase order from Manufacturer A. Neither transaction was predicated on the occurrence of the other transaction occurring through either an implied arrangement or a contractual arrangement, and, historically, Manufacturer A has sold twice as much in value to Manufacturer B as Manufacturer B has sold to Manufacturer A. Both of these inventory transactions are gross-cash settled at market prices.
- 845-10-55-25** Based on an evaluation of the circumstances, Manufacturer A's inventory purchase and sales transactions were not entered into in contemplation of one another.
- 845-10-55-26** This assessment is supported by reciprocal inventory purchase and sales transactions not being negotiated between the two counterparties at the same time. In addition, there is no correlation between the value of goods delivered to Manufacturer B and the value of goods received from Manufacturer B. Although this last factor is not explicitly identified in the guidance in this Subtopic, it further strengthens the assessment that the inventory transactions were not entered into in contemplation of one another. Consequently, the inventory purchase and sales transactions would not be deemed a single exchange for purposes of applying the [Purchases and Sales of Inventory with the Same Counterparty Subsection](#) of Section 845-10-30 and would be considered separate monetary transactions subject to the guidance in other relevant generally accepted accounting principles (GAAP).

Exchanges Involving Monetary Consideration

- 845-10-55-27** [Paragraph superseded by Accounting Standards Update No. 2017-05.](#)
- 845-10-55-28** [Paragraph superseded by Accounting Standards Update No. 2017-05.](#)
- 845-10-55-29** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 845-10-55-30** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 845-10-55-31** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 845-10-55-32** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 845-10-55-33** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 845-10-55-34** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 845-10-55-35** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 845-10-55-36** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 845-10-55-37** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

60 Relationships

i General Note: The Relationships Section contains links to guidance that may be helpful to, but not required by, a user of the Subtopic. This Section may not be all-inclusive. The relationship items are organized according to the Topic structure in the Codification.

General

> Other Expenses

845-10-60-1 For guidance on accounting for contributions made, see Subtopic [720-25](#).

Barter Transactions

> Revenue Recognition

845-10-60-2 For guidance on accounting for advertising barter transactions, see the guidance on noncash consideration in paragraphs [606-10-32-21 through 32-24](#).

i Note on Subsection Exchanges Involving Monetary Consideration: Upon the effective date of Accounting Standards Update 2014-09, the Subsection below, Exchanges Involving Monetary Consideration, will be superseded.

Exchanges Involving Monetary Consideration

845-10-60-3 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

S00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

845-10-S00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	845-10-S99-1	Amended	Accounting Standards Update No. 2012-03	08/27/2012

S30 Initial Measurement

General Note:The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

General

> Exchanges of a Nonfinancial Asset for a Noncontrolling Ownership Interest

845-10-S30-1	See paragraph 845-10-S99-2 , SEC Observer Comment: Accounting by a Joint Venture for Businesses Received at Its Formation, for SEC Staff views on the application of purchase accounting in the formation of new joint venture.
845-10-S30-2	See paragraph 845-10-S99-3 , SEC Observer Comment: Interpretation of Subtopic 845-10 , for SEC Staff views on exchanges of nonfinancial assets for a noncontrolling ownership interest.

> Transfers of Nonmonetary Assets by Promoters or Shareholders

845-10-S30-3	See paragraph 845-10-S99-1 , SAB Topic 5.G, for SEC Staff views on transfers of nonmonetary assets by promoters or shareholders before an initial public offering.
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S99 SEC Materials

i General Note: As more fully described in [About the Codification](#), the Codification includes selected SEC and SEC Staff content for reference by public companies. The Codification does not replace or affect how the SEC or SEC Staff issues or updates SEC content. SEC Staff content does not constitute Commission-approved rules or interpretations of the SEC.

General

> SEC Staff Guidance

· > Staff Accounting Bulletins

· · > SAB Topic 5.G, Transfers of Nonmonetary Assets by Promoters or Shareholders

845-10-S99-1 The following is the text of SAB Topic 5.G, Transfers of Nonmonetary Assets by Promoters or Shareholders.

Facts: Nonmonetary assets are exchanged by promoters or shareholders for all or part of a company's common stock just prior to or contemporaneously with a first-time public offering.

Question: Since FASB ASC paragraph [845-10-15-4](#) (Nonmonetary Transactions Topic) states that the guidance in this Topic is not applicable to transactions involving the acquisition of nonmonetary assets or services on issuance of the capital stock of an enterprise, what value should be ascribed to the acquired assets by the company?

Interpretive Response: The staff believes that transfers of nonmonetary assets to a company by its promoters or shareholders in exchange for stock prior to or at the time of the company's initial public offering normally should be recorded at the transferors' historical cost basis determined under GAAP.

The staff will not always require that predecessor cost be used to value nonmonetary assets received from an enterprise's promoters or shareholders. However, deviations from this policy have been rare applying generally to situations where the fair value of either the stock issued ^{FN1} or assets acquired is objectively measurable and the transferor's stock ownership following the transaction was not so significant that the transferor had retained a substantial indirect interest in the assets as a result of stock ownership in the company.

FN1 Estimating the fair value of the common stock issued, however, is not appropriate when the stock is closely held and/or seldom or ever traded.

· > Comments Made by SEC Observer at Emerging Issues Task Force (EITF) Meetings

· · > SEC Observer Comment: Accounting by a Joint Venture For Businesses Received at Its Formation

845-10-S99-2 The following is the text of SEC Observer Comment: Accounting by a Joint Venture for Businesses Received at Its Formation.

The SEC staff will object to a conclusion that did not result in the application of Topic [805](#) to transactions in which businesses are contributed to a newly formed, jointly controlled entity if that

entity is not a joint venture. The SEC staff also would object to a conclusion that joint control is the only defining characteristic of a joint venture.

· · > SEC Observer Comment: Interpretation of Subtopic 845-10

845-10-S99-3 The following is the text of SEC Observer Comment: Interpretation of Subtopic [845-10](#).

The SEC staff will require registrants to account for the exchange of consolidated businesses, even if in the same line of business, as a fair value transaction under the guidance of Topic [805](#). The SEC staff believes that Topic governs the acquisition of a consolidated business when acquired for nonmonetary assets, including equity method investments.